

Detroit's 'Build, Baby, Build' Summit Signals Industrial CRE's Capital Inflection

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A Summit Where Policy Met Capital

At the Reindustrialize Summit in Detroit, policymakers and investors gathered around a shared theme: rebuilding America's industrial base. The conversation wasn't theoretical. It was about where capital is flowing next.

SIGNIFICANCE

Why This Summit Matters for CRE

Industrial real estate has been driven by e-commerce and logistics. This summit signals a new driver: defense and critical supply chains. For capital allocators, this is a shift worth watching closely.

Capital Is Concentrating Around National Security

The simple version is this: government spending on defense manufacturing is creating a new demand floor for industrial space. Lenders and investors are beginning to underwrite assets tied to these supply chains differently.

What Does This Mean for Industrial Assets Today?

Not all industrial real estate benefits equally. The question is whether a property serves reshoring, defense, or critical infrastructure. Assets that do may see stronger demand and more favorable capital terms.

WHO CARES?

Three Perspectives to Watch

- * Sponsors: Are your industrial assets aligned with defense supply chains?
- * Lenders: How are you underwriting government-backed demand?
- * Investors: Is your portfolio positioned for this capital concentration?

This Is Part of a Broader Pattern

We're seeing capital flow toward assets with structural demand drivers. E-commerce was one wave. Defense and reshoring may be the next. The common thread: assets tied to long-term, non-discretionary demand.

What to Watch in the Coming Quarters

Monitor federal budget allocations for defense manufacturing. Watch for new industrial leases near military installations or critical infrastructure hubs. These will be leading indicators for capital deployment.

THE LESSON

Capital Follows Certainty

When government spending creates a demand floor, capital concentrates. For industrial CRE, the question is whether your assets sit in that flow. Light Tower Group helps sponsors and investors navigate these capital shifts. Connect with Benjamin Rohr for capital strategy and placement.